

Monthly JBV / Research Policy Digest

Generated: 2026-05-16 00:22 **Coverage:** 2026-05-01 to Available online 12 May 2026 | Journal of Business Venturing (2); Research Policy (22) **Total papers:** 24 (24 with abstract, 24 with PDF)

Journal breakdown: - Journal of Business Venturing: 2 - Research Policy: 22

Table of Contents

Journal of Business Venturing

- [Volume 41, Issue 4 | Published 2026-07-01](#) (1)
- [Volume 41, Issue 3 | Published 2026-05-01](#) (1)

Research Policy

- [Volume 55, Issue 8 | Published 2026-10-01](#) (4)
 - [Volume 55, Issue 6 | Published 2026-07-01](#) (6)
 - [Volume ?, Issue ? | Published Available online 12 May 2026](#) (12)
-

Journal of Business Venturing

Volume 41, Issue 4 | Published 2026-07-01

1. Activating civic wealth creation in devitalized communities: The role of sense of place

Authors: Rebecca Franklin, Natalie Slawinski

DOI: [10.1016/j.jbusvent.2026.106603](https://doi.org/10.1016/j.jbusvent.2026.106603) **Published:** 2026-07-01

Fields & Theories:

- **Fields:** Community Entrepreneurship, Social Entrepreneurship, Human Geography, Regional Development
- **Theories:** Sense of Place, Civic Wealth Creation, Social Capital Theory

Abstract:

Communities in developed economies increasingly face devitalization due to uneven development and economic fragility. How do some local communities create civic wealth — social, economic, and communal wealth that enhances the local community — amid the downward spiral of collapsing industries, relocating businesses, and brain drain? In this paper, we develop a conceptual model that theorizes how community entrepreneurs leverage community members' sense of place, i.e., the attachment and identification that individuals have with a place, to activate an upward spiral of civic wealth creation (CWC) in the context of devitalization. We connect research from human geography, environmental psychology, and related fields with community and entrepreneurship research to unpack how leveraging sense of place activates three core processes of CWC in devitalized communities: engaging community members, mobilizing placebased resources, and collaborating for local innovation. Our model depicts how sense of place is key to building communal wealth — capital created to enhance the community's capacity,

cohesion and cultural assets — which in turn is essential to ensuring the other types of civic wealth (i.e., social and economic) benefit the community, thus creating upward momentum. With our model, we contribute to research at the nexus of community and entrepreneurship, including growing literature on CWC.

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Volume 41, Issue 3 | Published 2026-05-01

1. Beyond computation: How National Supercomputing Centers facilitate new business entry

Authors: Yikai Zhao, Jingyi Tian, Shutong Zhang, Jun Nagayasu

DOI: [10.2139/ssrn.5149021](https://doi.org/10.2139/ssrn.5149021) **Published:** 2026-05-01

Fields & Theories:

- **Fields:** Entrepreneurship, Regional Economics, Innovation Policy, Digital Infrastructure
- **Theories:** Agglomeration Economies, Network Effects, Resource-Based View

Abstract:

We study whether advanced computing infrastructure catalyzes entrepreneurship by exploiting the staggered establishment of China's National Supercomputing Centers (NSCs) from 2007 to 2022. We find that NSCs significantly increase local new firm entry by strengthening network effects, attracting skilled labor, improving capital allocation, and intensifying government support. Importantly, these effects are conditional on local market environments, depending on computing demand, capacity to convert public computing resources into practical use, and the degree of competitive activation. We also note that while NSCs contribute to narrowing the coastal-inland entrepreneurship gap, their benefits appear to be uneven within inland regions, being more concentrated among highly skilled individuals and attenuated in markets dominated by leading incumbents.

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Research Policy

Volume 55, Issue 8 | Published 2026-10-01

1. Do firms report more university knowledge sourcing when informed about engagement channels?

Evidence from a field experiment

Authors: David Angenendt, Ammon Salter

DOI: [10.1016/j.respol.2026.105527](https://doi.org/10.1016/j.respol.2026.105527) **Published:** 2026-10-01

Fields & Theories:

- **Fields:** Innovation Management, Science-Industry Interaction, Survey Methodology
- **Theories:** Knowledge Sourcing, Open Innovation, Information Priming

Abstract:

Does providing information about a wide range of university engagement channels influence the likelihood that companies report that they source knowledge from universities in their innovative efforts? To address this question, we embedded a field

experiment in a multi-wave survey on university engagement that randomly exposed firms to information about a variety of engagement channels before asking about knowledge sources for innovation. We find that exposure to these channels significantly increases the likelihood of firms reporting universities as a knowledge source. The magnitude of this effect is substantial, with the propensity to report sourcing knowledge from universities increasing by 34% in our preferred estimate. This increase is concentrated among firms rating universities as of 'low' or 'medium' importance and among those firms with some university engagement. We discuss the implications for understanding university-industry engagement and the design of innovation surveys.

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2. Identification of valuable patents: New indicators and effects of prediction time points

Authors: Chia-Yu Lai, Chih-Ping Wei, San-Yih Hwang

DOI: [10.1016/j.respol.2026.105512](https://doi.org/10.1016/j.respol.2026.105512) **Published:** 2026-10-01

Fields & Theories:

- **Fields:** Intellectual Property Management, Innovation Management, Data Science
- **Theories:** Patent Value Theory, Predictive Analytics

Abstract:

Identifying valuable patents is an important yet challenging task. Prior studies on patent value prediction have predominantly exploited the bibliographic information of patents while largely ignoring other useful data when designing patent value indicators. In this study, we develop novel patent value indicators based on patent examination data (extracted from the United States Patent and Trademark Office's newly released research data set), patent citation networks, and claim texts for improving predictive effectiveness. In addition, the timely identification of valuable inventions is essential to the firms' R&D planning and management; however, our review of relevant literature indicates that most prior studies on patent value prediction did not investigate the effect of various prediction time points on prediction effectiveness. Thus, in this study, we construct dynamic prediction models according to various patent ages (e.g., immediately after a patent is issued, 2, 3, and 5 years after the patent is issued) to empirically evaluate their prediction effectiveness. Our empirical evaluation results demonstrate that our proposed method outperforms the benchmark method (consisting of the baseline indicators only) across all prediction time points we study. Our further analysis reveals that several of our proposed patent value indicators, including SPNP, CD, readability-SMOG, readability-CLIndex, abstractness-economic, abstractness-idea, and the log duration, are useful indicators to distinguish valuable patents from non-valuable ones. Our evaluation results also suggest that the proposed method can identify valuable patents immediately after they are issued with an accuracy of 80.54%; furthermore, the prediction effectiveness gradually improves as the patent gets older. More specifically, our proposed prediction method achieves an accuracy of 82.75% at 5 years after a patent is issued, which is 2.21% higher than that attained by the earliest prediction time point. Our study contributes to the patent value prediction literature and offers new insights into machine-learning-based patent analytics research (e.g., patent licensability prediction). In addition, our study has several important policy implications to firms. Early detection of patent value enables firms to make more informed decisions regarding patent maintenance. Moreover, the top-ranked indicators provide firms with a basis for developing guidelines and evaluation criteria for internal R&D investments, helping ensure that their resources are allocated to the most promising technological advancements.

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3. Making sense of wickedness: Directionality heuristics for challenge-led innovation policy

Authors: Matthias Mueller, Michael P. Schlaile, Stephanie Lang, Matthijs J. Janssen, Iris Wanzenböck, Kristina Bogner, Jana Zscheischler, Michael Schramm, Andreas Pyka

DOI: [10.1016/j.respol.2026.105513](https://doi.org/10.1016/j.respol.2026.105513) **Published:** 2026-10-01

Fields & Theories:

- **Fields:** Innovation Policy, Public Management, Science and Technology Studies

- **Theories:** Sense-making Theory, Directionality, Heuristics

Abstract:

This article contributes to the burgeoning literature on directionality challenges by introducing directionality heuristics as a lens to conceptualize how policymakers and other stakeholders interpret and respond to problems in challenge-led innovation policy. Our starting point is that the “wickedness” of problems is strongly shaped by subjective and context-specific perceptions. We therefore utilize and adapt a sense-making framework, originally developed in the management literature, to distinguish different ways in which actors engage with the complexity and uncertainty of such problems. Building on this perspective, we conceptualize directionality heuristics as domain-specific rules of thumb that guide how policymakers interpret and address problems. We demonstrate the usefulness of this concept by applying it retrospectively to the Dutch Mission-oriented Topsector and Innovation Policy. The illustration how stakeholders' differing views on the wickedness of problems translate into particular directionality challenges as well as suitable practices to address those. We conclude by outlining three key propositions, which emphasize the main conceptual contributions and provide concrete paths for future research and policy. Sense-making helps to understand how policymakers view and tackle wicked problems. Directionality heuristics are mental shortcuts used to interpret and address problems. Different degrees of wickedness call for different directionality heuristics. Nescience creates additional directionality challenges for challenge-led policies.

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4. Splitting status and substance: The diverging fates of breakaway and zombie journals

Authors: Kyle Siler

DOI: [10.1016/j.respol.2026.105519](https://doi.org/10.1016/j.respol.2026.105519) **Published:** 2026-10-01

Fields & Theories:

- **Fields:** Sociology of Science, Bibliometrics, Organizational Ecology
- **Theories:** Social Capital, Brand Equity, Community Ecology, Institutional Logic

Abstract:

Mass editorial board resignations from journals are an increasingly widespread phenomenon in academic publishing. Breakaway journals are new journals founded by resigning editorial boards to compete with the journal they abandoned. Publishers often respond to these mutinies by re-staffing journal editorships and editorial boards to preserve the journal brand. Zombie journals are established journals that persist following mass resignations. Breakaway and Zombie journals provide an opportunity to empirically examine how removing part of a journal's community from its brand affects subsequent publishing behaviors and niches. This article analyzes early case studies of editorial board mutinies in linguistics, bibliometrics, and mathematics. Difference-in-differences analyses of pre- and post-mutiny journals reveal that the Breakaway journals quickly established market share at the expense of their Zombie counterparts. Post-mutiny Zombie journals exhibited declines in citations

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Volume 55, Issue 6 | Published 2026-07-01

1. Behavioral micro-foundations for the space commons: A policy toolkit

Authors: Felipe M. Affonso

DOI: [10.2139/ssrn.6575099](https://doi.org/10.2139/ssrn.6575099) **Published:** 2026-07-01

Fields & Theories:

- **Fields:** Innovation Governance, Behavioral Economics, Space Policy
- **Theories:** Commons Theory, Choice Architecture, Signaling Theory, Micro-foundations

Abstract:

Satellite megaconstellations are transforming the space economy, yet the same commercial expansion that connects remote communities and monitors climate change is contaminating observations from the Hubble Space Telescope, increasing collision risks to irreplaceable scientific assets, and overwhelming governance institutions designed for a handful of state actors. The behavioral forces driving this expansion (status competition, prestige signaling, systematic discounting of long-term costs) are precisely the forces that Cold War-era frameworks fail to address. Because these patterns are predictable, they are also designable. This paper develops the Astro-Economic Behavioral (AEB) Framework, which proposes that the psychological forces producing governance failures can be redirected through choice architecture toward sustainable outcomes without binding enforcement. Three theoretical pillars, Narrative Capital, Conspicuous Exploration, and Behavioral Governance, identify how symbolic value, costly signaling, and decision defaults shape space governance outcomes. These pillars inform four policy instruments that operate through existing international regimes, requiring no new treaty authority: sustainable-practice defaults, a reputational index, loss-framed site designations, and time-bounded safety zones. For each instrument, pre-specified quasi-experimental evaluation designs enable evidence-based iteration. The framework contributes to innovation policy by providing behavioral micro-foundations for governance in emerging sectors where rapid technological change outpaces institutional adaptation.

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2. Characterizing the policy mix and its impact on energy sustainable transformation: The case of China's energy policy

Authors: Leilei Liu, Zhichao Ba, Lihong Wang, Gang Li

DOI: [10.1016/j.respol.2026.105515](https://doi.org/10.1016/j.respol.2026.105515) **Published:** 2026-07-01

Fields & Theories:

- **Fields:** Innovation Policy, Sustainability Transitions, Environmental Economics
- **Theories:** Policy Mix Framework, Technological Innovation Systems, Evolutionary Economics

Abstract:

The study delves into how policy mixes catalyze rapid and sustainable transformation in response to climate change and environmental challenges. Using China's energy policies as a case study, we quantify indicators of novelty, complementarity, and coherence to evaluate the efficacy of these policy mixes in fostering sustainable transformation. Specifically, we collected and analyzed 16,725 Chinese energy policies as empirical data. Each policy was deconstructed into a vector comprising a series of policy elements (objectives and instruments) and their corresponding intensity levels, capturing the intricate relationships among elements, including migration, emergence, co-occurrence, and supplementary relationships. These element combinations were then mapped into spatial-temporal policy mix characteristics through a bottom-up approach. We compiled a comprehensive panel dataset of energy policy mixes for 284 Chinese prefecture-level cities from 2006 to 2021 to evaluate their impact on enhancing energy efficiency and facilitating transformation. Econometric results indicate that the novelty and complementarity of policy mixes exhibit an inverted U-shaped relationship with energy efficiency. A more coherent deployment strategy of policy mixes significantly promotes energy efficiency. Additionally, these characteristics affect energy efficiency indirectly by altering the trajectory of green technological innovation. Importantly, these effects are unevenly manifested across cities, depending on differences in geographic location, urban scale, governmental efficiency, and resource endowments. Finally, our research revealed inconsistent spatial spillover effects of policy mix characteristics on energy translations, necessitating further investigation to attribute these effects adequately.

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3. Chasing ratings, losing impact: The effects of journal lists on publication patterns in business and management

Authors: Chris Brooks, Miklos Farkas

DOI: [10.2139/ssrn.6633898](https://doi.org/10.2139/ssrn.6633898) Published: 2026-07-01

Fields & Theories:

- **Fields:** Scientometrics, Sociology of Science, Management Education
- **Theories:** Institutional Theory, Incentive Theory, Goodhart's Law

Abstract:

The quality of research papers in business and management is frequently assessed in an automated fashion according to the rating of the journals in which they are published. Using a very large sample of research spanning all fields in business and management studies, we examine the extent to which the prevalence of country-specific journal ratings lists leads authors to focus on ratings, potentially at the expense of the academic influence and article fit of the resulting publication. We find that authors based in the UK or Australia publish disproportionately frequently in journals that have low impact factors within ratings categories measured using their country's journal lists. We argue that such outcomes could have arisen in contexts where measured research performance is prioritised alongside publication in less competitive outlets. We show that this success is on average achieved at the expense of both fit to the journal and citations, which are sacrificed by publishing in lower-impact, higher-rated journals. We find no evidence, however, that work by Australian or UK authors who publish away from their core fields appears in higher rated journals.

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4. Dead end ahead? How phase-out policies affect incumbent adaptation to technological change in the automotive industry

Authors: Hauke Luetkehaus, Joern Hoppmann

DOI: [10.1016/j.respol.2026.105490](https://doi.org/10.1016/j.respol.2026.105490) Published: 2026-07-01

Fields & Theories:

- **Fields:** Strategic Management, Innovation Studies, Sustainability Transitions
- **Theories:** Organizational Inertia, Institutional Theory, Dynamic Capabilities

Abstract:

This study shows how phase-out policies drive and support the adaptation of incumbent firms to technological change, drawing on evidence from the European automotive industry. Recent years have seen growing interest among academics and practitioners in policies aimed at phasing out unsustainable technologies. However, their implementation remains controversial because the effects on key actors—such as incumbent firms—remain poorly understood. To shed more light on this timely question, we conducted a qualitative case study to analyze how the recent EU-level decision effectively banning new registrations of internal combustion engine vehicles beginning in 2035 affects incumbent carmakers in their adaptation to technological change. We offer insights into the causal mechanisms through which phase-out policies affect incumbent adaptation and show how firm-level factors shape policy effectiveness. We demonstrate that phase-out policies can drive incumbent adaptation by redirecting attention, excluding technology trajectories, clarifying forecasts, and facilitating ecosystem coordination. This implies that such policies can effectively accelerate transitions and are less detrimental to incumbents than is often assumed. In fact, these measures represent an effective means of overcoming multiple internal and external sources of inertia, increasing incumbents' likelihood of surviving technological change. However, firm-level factors—such as progress in adaptation, the coverage of heterogeneous markets, and perceived policy credibility—are both critical to policy effectiveness and linked to incumbents' political interests and activities. In this regard, policymakers should take particular care in designing phase-out and complementary policies to ensure high credibility and to mitigate political resistance from incumbents.

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5. Open-Source software activities and on-chain performance in decentralized applications

Authors: Jin Hu, Cong Ma, Daning Hu

DOI: [10.1016/j.respol.2026.105505](https://doi.org/10.1016/j.respol.2026.105505) **Published:** 2026-07-01

Fields & Theories:

- **Fields:** Innovation Management, Digital Entrepreneurship, Information Systems
- **Theories:** Open Innovation, Community-based Innovation, User Engagement Theory

Abstract:

In recent years, innovations in financial technology, particularly decentralized applications (DApps), have increasingly relied on open-source software (OSS) models to support technological advancement and transparency. This study investigates the relationship between OSS activities and the on-chain performance of DApps. Using data from DAppRadar and GitHub, we focus on two key dimensions of OSS activities: development in tensify and community interaction. We find that both dimensions are positively associated with subsequent user engagement and transaction volume. These findings underscore the importance of OSS activities in shaping user-centered DApp outcomes and offer practical insights for developers, users, and investors navigating the block chain ecosystem. By shifting the analytical lens from traditional market-based metrics to behavioral indicators, this research provides a more nuanced understanding of DApp sustainability in open-source environments.

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6. Research excellence is hard to sustain: Evidence from Japan's WPI initiative

Authors: Arsev Umur Aydınoglu, Özgür Kadir Özer

DOI: [10.1016/j.respol.2026.105493](https://doi.org/10.1016/j.respol.2026.105493) **Published:** 2026-07-01

Fields & Theories:

- **Fields:** Science Policy, Research Management, Higher Education Policy
- **Theories:** Resource Dependence Theory, Institutional Theory

Abstract:

Excellence initiatives are established policy instruments for enhancing research capacity and competitiveness in higher education, yet evidence on how long their effects persist remains limited. This study addresses this gap through a longitudinal, comparative assessment of Japan's World Premier International Research Center Initiative (WPI). Using scientometric data, we examine eight university-based centers from establishment through 2022, covering both funded and post-funding periods, across three program-relevant dimensions (research production and impact, internationalization, and interdisciplinarity) relative to host universities. During active funding, WPI centers exhibited higher publication output and citation impact relative to their host universities. Post-funding trajectories diverged systematically: centers that secured alternative external resources sustained elevated performance, whereas those reliant on institutional support experienced decline toward host-university baselines. In contrast, internationalization and interdisciplinary activity remained stable after funding ended, although both displayed persistent heterogeneity across centers. Interpreted through Resource Dependence Theory, the findings underscore that excellence gains are contingent on the reconfiguration of external resource environments rather than on funding intensity alone, and that their duration is shaped by whether alternative resource streams are secured before exceptional support ends.

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Volume ?, Issue ? | Published Available online 12 May 2026

1. Adverse effects of financial innovation on technological innovation: The case of commodity futures

Authors: Tong Zhou

DOI: [10.1016/j.respol.2026.105494](https://doi.org/10.1016/j.respol.2026.105494) Published: Available online 12 May 2026

Fields & Theories:

- **Fields:** Financial Innovation, Innovation Management, Corporate Finance
- **Theories:** Managerial Myopia, Information Transparency, Speculation Theory

Abstract:

Commodity futures, a type of financial innovation that has been widely traded in the real sector since the 19th century, have long been deemed tools that improve risk management and enhance operational performance. In this paper, I unveil a dark side of commodity futures: they impede corporate technology innovation performance. Specifically, utilizing the staggered nature of commodity futures listings across industries and a comprehensive sample of Chinese manufacturers, I find that listings of commodity futures reduce innovation outputs, decrease R&D inputs, and weaken firms' exploratory nature of innovation. Further tests suggest that such dark side plays a role because commodity futures stimulate financial speculation, intensify competition via promoting product market information transparency, and induce corporate myopia.

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2. Arbitrary message passing across blockchains and implications for financial markets

Authors: Jiasun Li, Zhengxun Wu

DOI: [10.1016/j.respol.2026.105507](https://doi.org/10.1016/j.respol.2026.105507) Published: Available online 12 May 2026

Fields & Theories:

- **Fields:** Financial Technology, Blockchain Technology, Information Systems
- **Theories:** Coevolutionary Theory, Design Science Research, Trade-off Theory

Abstract:

As an example of the coevolution of financial and technological innovations, the increasing sophistication of smart contract applications and the coexistence of multiple blockchains give rise to an arbitrary message passing (AMP) problem, that is, how to reliably transmit general information from one blockchain to another. To help the finance community better understand the technical essence of this emerging area and better appreciate its implications, this paper develops a unifying framework for AMP solutions, highlighting trade-offs in speed, security, and trustlessness in their designs. We apply our framework to explain the mechanisms of several representative AMP protocols currently being developed in practice, and discuss their respective security properties and performance along with the various design trade-offs we have identified. We also discuss the potential implications of AMPs for financial market innovations.

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3. Asset pledgeability and firm innovation

Authors: Huafeng (Jason) Chen, Xiaofei Pan, Meijun Qian, Yiping Wu, Qing Xia

DOI: [10.1016/j.respol.2026.105504](https://doi.org/10.1016/j.respol.2026.105504) Published: Available online 12 May 2026

Fields & Theories:

- **Fields:** Corporate Finance, Innovation Management, Law and Economics
- **Theories:** Credit Constraint Theory, Institutional Theory, Resource-Based View

Abstract:

China is rapidly becoming a leading innovator, even as its financial system remains heavily debt based. We examine the effect of debt financing capacity on firm innovation by employing a shock in China that increases firms' asset pledgeability. We find that

firms increase their innovation activities after the shock, and the increase is greater in regions with more effective enforcement and in firms with more tangible assets, even after using a matching firm analysis. After using three instrumental variables, we find that the increase in innovation is stronger in firms with higher market tangibility. We also find that firms with more tangible assets are associated with a higher level of bank loans after legal enactments, have higher R&D activities, engage in more mergers and acquisitions targeting high-tech firms, and hire more inventors.

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4. Collusion-proof decentralized autonomous organizations

Authors: Alexander Braun, Niklas Haeusle

DOI: [10.1016/j.respol.2026.105509](https://doi.org/10.1016/j.respol.2026.105509) **Published:** Available online 12 May 2026

Fields & Theories:

- **Fields:** Corporate Governance, Blockchain Technology, Mechanism Design
- **Theories:** Game Theory, Social Choice Theory, Principal-Agent Theory

Abstract:

A first-order design task in blockchain-based decentralized autonomous organizations is to ensure that malicious actors are sanctioned. We show that, when voters act strategically and the system is insufficiently decentralized, payoff-matching bribes undermine the sanctioning of malicious actors under conventional governance. Our framework formalizes DAO voting mechanisms and lets us identify those that mitigate the problem. Stochastic voting decouples a tokenholder's influence from the voting behavior of others. Thus, bribery-proofness can be restored in the presence of sufficiently centralized governance tokenholders. Alternatively, masked voting increases resilience against bribery. Our work contributes to the broader debate on the merits and pitfalls of decentralization and the need to align governance mechanisms with the degree of decentralization in blockchain networks.

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5. Detecting crypto wash trades via machine learning

Authors: Brett Hemenway Falk, Gerry Tsoukalas, Niuniu Zhang

DOI: [10.1016/j.respol.2026.105508](https://doi.org/10.1016/j.respol.2026.105508) **Published:** Available online 12 May 2026

Fields & Theories:

- **Fields:** Financial Technology, Market Microstructure, Data Science
- **Theories:** Information Asymmetry, Market Integrity

Abstract:

Existing studies of crypto wash trading often rely on indirect statistical methods or leaked private data. We develop a machine learning framework that achieves trade-level detection using public on-chain data alone. In three major NFT marketplaces, on-chain filters flag 38% of trades and 60% of traded value as wash trades, with substantial variation across platforms. We engineer a set of trade-level features and train tree-based and deep learning models on these labels, achieving accurate transaction-level classification. The framework accommodates prior aggregate estimators as features, including the trade-size roundedness regression of Cong et al. (2023b). The methodology also applies to fungible-token trade data, as demonstrated on the Mt. Gox Bitcoin dataset. Together, these results provide a scalable basis for on-chain market surveillance.

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6. Does financial innovation lead to technological innovation? Evidence from foreign exchange derivatives

Authors: Sapnoti K. Eswar, Lora Dimitrova

DOI: [10.1016/j.respol.2026.105503](https://doi.org/10.1016/j.respol.2026.105503) Published: Available online 12 May 2026

Fields & Theories:

- **Fields:** Financial Innovation, Corporate Finance, Innovation Management
- **Theories:** Financing Constraints Theory, Risk Management Theory

Abstract:

We investigate whether financial innovation, specifically the use of foreign exchange (FX) derivative products, spurs firms' technological innovation, measured with patent-based metrics. Using a quasi-exogenous shock that reduces the cost of using FX derivatives and varying FX equity exposure of firms, we find that increased utilization of FX derivatives results in higher patent production. The primary mechanism driving this relationship is the reduction in financial constraints and enhanced risk management. The effect is especially pronounced for firms facing difficulties in raising equity capital. Our results indicate that the use of FX derivatives boosts innovative output by improving firms' ability to raise equity capital, thereby increasing R&D investment, rather than by increasing risk-taking. Innovation represents a fundamental driver of economic growth, shaping the trajectory of industries and economies through sustained improvements in productivity (Bloom and Van Reenen, 2002; Kogan et al., 2017). Over recent decades, both financial and technological innovations have played a central role in fostering this growth. The interplay between financial innovation and technological advancement has recently gained attention as we seek to understand the mechanisms underlying sustained economic development. While technological progress is widely acknowledged as a primary engine of productivity and growth, the role of financial innovation — particularly in facilitating or impeding such progress — remains less clearly delineated. This paper investigates the co-evolution of financial and technological innovation from a historical standpoint, focusing on the increased use of derivative contracts following a quasi-exogenous event in the derivatives markets in 1987 and its subsequent effect on technological innovation. Derivative contracts stand out as one of the most consequential financial innovations of recent decades. For example, the market for Foreign Exchange (FX) derivatives has exploded from \$3 \$ This article is part of a Special issue entitled: 'Financial & Tech Innovations' published in Research Policy. \$\$ We thank Shashwat Alok, Jan Bena, Alex Borisov, Mike Eriksen, Michael Ferguson, Lei Gao, Dirk Jenter, Uday Rajan, Adriano Rampini, Farzad Saidi, Grzegorz Trojanowski and seminar participants at the 2023 Annual Workshop on Applied Economics, 2017 Summer Research Conference at ISB, 2017 International Risk Management Conference, 2017 European Financial Management Association, 2017 Securities Markets, Trends, Risks and Policies Conference at Bocconi University, 2017 Finance Forum, 2016 WFA-CFAR Conference at Olin Business School, 2016 European Summer Symposium in Financial Markets, SWUFE Research Workshop, and FMV Cluster Meeting for helpful comments and suggestions. We gratefully acknowledge funding from Third Century Funding at the...

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7. Gold or green finger? Government involvement in venture capital investments and target firms' green innovations

Authors: Michelle Xiaomin Fan, Kenneth G. Huang

DOI: [10.1016/j.respol.2026.105506](https://doi.org/10.1016/j.respol.2026.105506) Published: Available online 12 May 2026

Fields & Theories:

- **Fields:** Entrepreneurial Finance, Innovation Policy, Environmental Management
- **Theories:** Resource Dependence Theory, Bureaucrat Tournament Theory, Agency Theory

Abstract:

The potential problem of insufficient investments from private venture capital firms provides a strong rationale for government involvement. However, its role in driving green innovations—an important innovation that integrates environmental benefits to align with regulatory pressures—remains underexplored. Drawing upon Resource Dependency Theory and incorporating Bureaucrat Tournament Theory, our study examines how government involvement in venture capital investments affects target

firms' production of green innovations. Using a plausibly exogenous, top-down policy on government guidance funds in China and employing a staggered difference-in-differences approach, we find that target firms funded exclusively by government-supported venture capital firms are associated with fewer green innovations than those supported exclusively by private venture capital firms. Furthermore, the effects are more pronounced when the target firms are funded by government-supported venture capital firms associated with higher-level government and located in regions with greater government intervention. This study sheds new light on the intricate interplay between financial and technological innovations, adding to the venture capital literature by examining the lens of government involvement and investments. It also yields important strategy and policy implications.

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8. How technological innovation shapes financial innovation: Substitution effects versus knowledge diffusion

Authors: Mark A. Chen, Shuting Sophia Hu, Joanna Wang, Qinxi Wu

DOI: [10.2139/ssrn.5380311](https://doi.org/10.2139/ssrn.5380311) **Published:** Available online 12 May 2026

Fields & Theories:

- **Fields:** Economics of Innovation, Financial Innovation, Strategic Human Capital
- **Theories:** Knowledge Spillover Theory, Crowding-out Effect, Resource Allocation Theory

Abstract:

The innovation of new financial products, processes, and services is a key driver of economic development and technological progress. Yet, the issue of how new technology itself affects financial innovation activity is not well understood. We argue that, although new technologies can spur financial innovation via knowledge spillovers, they can also lead to the “crowding out” of financial innovation by increasing the relative profitability of competing investment opportunities. To test our hypotheses, we use time-series data during 2005–2019 on the occurrence of major waves of non-financial innovation and their impact on firms' financial patenting and the hiring of financial inventors. We find evidence of aggregate-level crowding-out in the earlier part of the sample: firms tend to shift from financial to non-financial patenting following the onset of an innovation wave. A likely driver of this substitution effect is a relative labor demand shift away from financial inventors and toward non-financial inventors. This demand shift appears to be stronger among firms with fewer financial or real constraints and those with better access to local inventor human capital. In more recent years, substitution effects have diminished, likely due to the increasing breadth and attractiveness of financial patenting. Overall, our results shed light on the economic trade-offs that drive financial innovation and suggest that the growing integration of finance with non-financial technology has increasingly blurred the lines between different innovation types.

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9. Information sharing with blockchain

Authors: Christian Riis Flor, Stefan Hirth, Evgeny Lyandres, Alexander Schandlbauer

DOI: [10.1016/j.respol.2026.105496](https://doi.org/10.1016/j.respol.2026.105496) **Published:** Available online 12 May 2026

Fields & Theories:

- **Fields:** Industrial Organization, Information Economics, Operations Management
- **Theories:** Game Theory, Contract Theory, Information Asymmetry

Abstract:

We analyze benefits and limitations of information sharing among product market rivals via a smart-contract-enabled blockchain. Firms face uncertain demand but obtain informative signals that can be reported to a blockchain, which ensures immutable recording but does not guarantee truth-telling. Truthful reporting is incentivized by requiring firms to post collateral

("stake"), which is forfeited if the report is deemed untruthful ex-post. We derive (a) conditions under which truthful reporting arises in equilibrium and (b) the necessary amount of collateral that ensures truthful reporting, and examine their comparative statics with respect to ex-ante demand uncertainty, signal precision, and competitive interaction among firms. While the collateral is returned to firms whose production decision is consistent with their report, financially constrained firms may struggle to afford the required stake. Thus, they are potentially unable to join the blockchain. We investigate conditions under which it is beneficial for firms to partially subsidize their rivals' collateral costs. Finally, we examine welfare implications of information sharing via blockchain, and we show that such information sharing is welfare improving.

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10. Social networks and technology adoption: Evidence from online banking

Authors: Qi Chen, Roberto M. Samaniego

DOI: [10.1016/j.respol.2026.105502](https://doi.org/10.1016/j.respol.2026.105502) **Published:** Available online 12 May 2026

Fields & Theories:

- **Fields:** Innovation Diffusion, Social Network Analysis, Financial Innovation
- **Theories:** Diffusion of Innovations, Social Learning Theory

Abstract:

Demand provides an essential incentive for innovation, but how the demand for a new good or service develops is unclear. We ask whether social networks are a factor contributing to the development of the demand for innovations. Using the example of online banking, we find that online banking services spread from early-adopting counties to counties that are connected to them via social networks. The findings underline the importance of understanding how information about innovations generates the demand that encourages their diffusion - including the technological innovations that support financial innovation.

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11. The financial implications of open innovation: Evidence from stock market reactions to public companies' open source software releases

Authors: Wei Yang

DOI: [10.1016/j.respol.2026.105500](https://doi.org/10.1016/j.respol.2026.105500) **Published:** Available online 12 May 2026

Fields & Theories:

- **Fields:** Open Innovation, Strategic Management, Corporate Finance
- **Theories:** Appropriability Theory, Signaling Theory, Ecosystem Theory

Abstract:

Open source has become an increasingly important strategy in many technology-intensive industries, including the financial sector. Yet, because open source makes technology and knowledge available for free, it runs counter to well-established theories that emphasize the need for appropriability and knowledge control to profit from innovation, thereby creating challenges for assessing its financial implications. Against this backdrop, this study examines how financial investors react to public companies' open-source innovation. Drawing on the literatures on open source, technology ecosystems, and the interplay between financial markets and firm strategy, I propose that a company's open-source innovation release is associated with a positive stock-market reaction. I further propose that investors' positive reactions increase with the company's proprietary innovation, because proprietary innovation allows more value created from the open source innovation to be retained within the firm through appropriability regime, while enhancing the inimitability of the interdependent ecosystem enabled by open source. Moreover, the effect of proprietary innovation is stronger when the company incorporates pre-existing open-source modules into the technological architecture of the released technology. Those hypotheses are supported by the empirical analysis based on 2693 open-source software releases by 108 public firms from 2012 to 2020. Event-study analysis also reveals an average cumulative

abnormal return of 0.37% associated with a company's release of open source innovation. In addition, exploratory evidence suggests that greater knowledge reliance on open-source contributors of the company dampens the effect of proprietary innovation on stock-market reactions, although identification challenges limit causal interpretation of this pattern. I conclude by discussing implications for understanding open source and the co-evolution of financial and technological innovation.

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12. Tokenized stocks for trading and capital raising

Authors: Katya Malinova, Andreas Park

DOI: [10.1016/j.respol.2026.105497](https://doi.org/10.1016/j.respol.2026.105497) **Published:** Available online 12 May 2026

Fields & Theories:

- **Fields:** FinTech, Blockchain Technology, Financial Market Infrastructure
- **Theories:** Transaction Cost Economics, Institutional Theory

Abstract:

This paper explores the tokenization of traditional financial assets, particularly equities, on public blockchains like Ethereum. We examine how tokenization can streamline complex financial market infrastructure, replacing fragmented intermediary networks and cumbersome reconciliation processes. Despite significant potential for operational efficiency and broader market accessibility, tokenizing complex securities poses distinct technological, economic, and regulatory challenges. A core issue is attributing beneficial ownership and associated investor rights on pseudonymous blockchain networks without compromising user privacy or usage of decentralized applications. We analyze current token standards, practical implementation pathways, and regulatory compliance mechanisms, highlighting unresolved issues such as managing ownership in a smart contract environment. Emphasizing permissionless blockchain features like self-custody, interoperability, and decentralized financial services, we discuss implications for financial market structures and regulatory frameworks. The paper identifies key considerations, proposes potential solutions such as opt-in ownership registries, and provides guidance for future regulatory and engineering research on effectively integrating tokenization into traditional financial markets. Traditional finance relies on a network of specialized intermediaries, each maintaining separate databases and performing specific functions, all interconnected through intricate operational processes. Although many elements have evolved from physical documents to digital records, today's financial market infrastructure was originally conceived in an era when traders still shouted orders across exchange floors. Even a straightforward stock trade requires coordination among brokerdealers, trading platforms, custodian banks, clearing agencies, asset depositories, transfer agents, and payment networks, with multiple reconciliation steps throughout the process. Arguably, if we were to rebuild financial infrastructure from scratch today, the operationally most efficient solution would likely be a unified, centralized system managing all assets. A blockchain can consolidate asset creation, servicing, transfer, trading, pledging, borrowing, lending, and essentially any form of financial contracting—including complex derivatives—into a single system. For example, the trade of an asset on a blockchain can occur atomically, meaning the asset and payment simultaneously settle. An arbitrageur can borrow assets, execute both legs of an arbitrage strategy, and repay the borrowed assets all within a single transaction. A blockchain thus functions similarly to a single shared system, but it is decentralized rather than centralized. At first glance, such technology should be highly appealing as it could complement or even replace existing processes, eliminating cumbersome paperwork and reconciliation delays. This, in turn, would free up immobilized capital to be used more efficiently, potentially contributing to economic growth. A critical prerequisite for using blockchain as a financial infrastructure alongside or as a replacement...

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